

March 11th, 2026

Doom, Gloom, and Boom

A month has passed since our last memo, and the headlines are only accelerating as we move through this 2026 mid-term cycle. The market remains in a state of aggressive price discovery for AI-driven equities, even as it struggles to digest a rapidly shifting geopolitical landscape and escalating conflict in the Middle East. With tech stocks retreating and terminal values under scrutiny, we are also witnessing a fundamental shift in the labor market that has left white-collar job security at a historic crossroads. While market volatility and geopolitical shifts dominate the headlines, our objective in this memo is to discuss the evolving AI narrative and provide actionable commentary on broader market themes, enduring investment lessons, and the specific names where we currently see the greatest opportunity.

I want to leave you with a glimpse of the overall market on a five-year time frame. In my opinion, I lean to the side that we are most likely witnessing a near term top that will materialize over the next few quarters.

I began voicing my concerns around market levels in the November [memo](#) and we've stated numerous times since then that cash has been a majority position. Some investors do not care for technical analysis but I am one who reviews charts every single day. I do not invest solely on charts but they do allow me to get a feel for the market's directional probability in the near term. Sometimes I'll include chart snippets in memos for readers to have an opportunity to see where I pull a portion of my reasoning from. I want to take time here to update you with another five-year picture of the market below.



**SPY on 3/9/2026*

Clearly, our opinion of a near term top forming has proved prescient so far. While I do not consider technical analysis perfect by any means, it proves itself much more reliable when analyzing indexes. The main reasons behind that are 1.) institutional programming 2.) higher liquidity and manipulation and 3.) the law of large numbers. I'll reemphasize the first mention; you can not view the overall market's price action without first understanding that it is being driven by institutional algorithms agreed upon by the big boys. Ground yourself in that reasoning and price action becomes a much clearer story. A unique characteristic of the modern market is that corrections have only become more acute. This of course is again due to algorithmic trading by institutions. This explains why gold can shed trillions in a single session, or why a Big Tech giant might lose \$100 billion in after-hours trading only to claw it all back by the opening bell.

This year has been a trader's dream and I think it will continue to be so in the near term. I also believe patience and caution will prevail in this market. There remains more downside risk than upside, especially in technology names. I do believe the Iranian events are temporary, but we all know a sustained move higher in oil equates to higher inflation and rates, both of which reduce the setup in risk assets.

If you haven't caught on yet, Trump is a stock market manipulator and has operated as such since taking office again. A trend among his trading outfit is to induce near term shock (tariff threats) and/or trade around his administration's global agenda (Venezuela/Iran). I can guarantee you the barometer of his administration is the performance in equities. We knew this throughout his first term and we are lucky enough to play the cards for his second term. In the above paragraph I reference "big boys" and the biggest is Donald. Our President controls the entire stock market like a puppeteer and you are mistaken to think otherwise. That is a tough pill for virginal investors to swallow, but it is the reality.

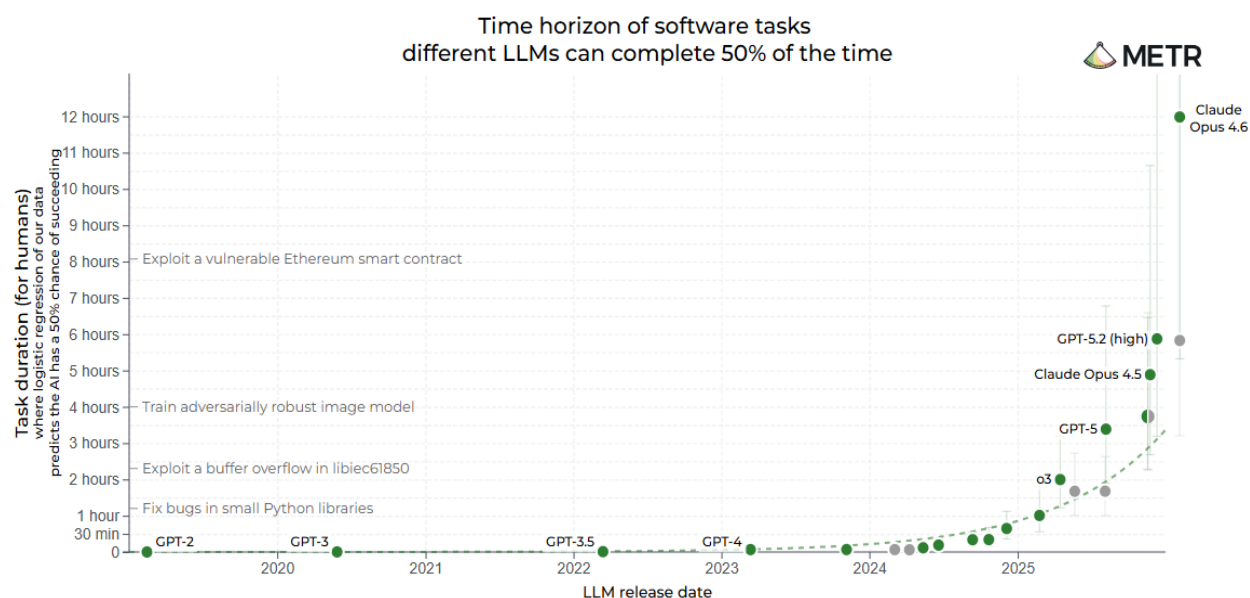
Ultimately, acute events allow for greater forward returns, you just need to wait for your pitch. Maintaining higher levels of cash allows you to take advantage when that pitch finally comes your way. As we endure what appears to be an acute-correction, I'm hopeful that the market will be given clarity in some fashion relatively soon (most likely directly from Donald's mouth). We saw this in action on March 9, when Trump mentioned that Middle East operations were "very complete, pretty much." Lastly, it is common knowledge that mid-term years tend to not be the most appealing for markets. Luckily, the twelve month period after mid-term elections has historically been some of the market's best, with the S&P 500 averaging 12% or more during such periods.

Two Cents on AI and Optimism

Currently, social media algorithms are inundated with AI hypotheticals and humans being the emotional animals we are, tend to not fare well with such information. If you've read any of these, they pitch a fork in the road between white-collar collapse and unfathomable productivity expansion potential. I do not intend to spend much time discussing AI as some dystopian threat or a utopian savior, and quite honestly, I could not care less about such scenarios. You're free to spend your time reading hyperbolic entries elsewhere. Reality will ultimately fall well outside of our control my friend. Having said that, you still reserve the right to dream about your future. I'll contribute a few thoughts below before we continue on with the typical agenda.

I started my AI education much later than most, sometime during 2019 after stumbling upon a tenured Google consultant by the name of Ray Kurzweil. His collection of [works](#), specifically his writings on the Singularity, have proved to be profound in many ways. One irrefutable principle that stuck with readers is the *law of accelerating returns*. The below image illustrates this in regards to artificial intelligence's progress. Another idea that weighed heavily on me was his teachings surrounding *longevity escape velocity*. The former enables the latter, but it is the reason I like to remain optimistic about artificial intelligence during my lifetime. Kurzweil is not claiming immortality, but the simple fact that as artificial intelligence progress accelerates, we will enter a period where scientific progress is giving back more time than you or I spend. We've seen this throughout human history and you don't have to venture far to find modern day studies reasoning such. If the topic of longevity interests you further, I suggest studying David Sinclair's work and specifically his book [Lifespan](#). No material item or social construct will ever compare to the value of time, and hopefully, technological progress can unlock more of it for everyone.

I do not try to predict what the future looks like but it is safe to say while *computers are waxing*, *humans are waning*. I do not consider that statement outrightly negative. This is a wave of inevitability that humans will not overcome. AI is becoming the foundational infrastructure of the modern world and as an investor, there may never be a more exciting time than right now. We are lucky to be alive in what most would call the "early innings".



*Image pulled from <https://metr.org/time-horizons/>

The Same Old Playbook

We alluded to the topic of price discovery in the initial paragraph because I wanted to spend further time discussing this term. Price discovery has always taken place and most notably occurs in market leading thematic. You can think back to the EV/Clean Energy SPACs, cannabis, COVID beneficiaries, 3D printing, etc. where the same exact market mechanics have

proved repetitive. During such periods, the market is essentially crowning winners and losers. This relates to our previous discussions on *stage analysis*. If you own individual equities, it is best to understand what stage of the cycle each falls in. You should be able to go down your holdings list and make specific note of what stage each is currently in. Without this perspective, you stand to give back the majority of your unrealized gains. Below I'm going to compare select names from each of the abovementioned periods to illustrate the similarity between cycles.



*Zoom Communications (ZM) 5Y visual: COVID beneficiary



*Plug Power (PLUG) 5Y visual: EV



*Aurora Cannabis Inc. (ACB) 5Y visual: Cannabis



*3D Systems Corporation (DDD) 5Y visual: 3D Printing

You do not have to be a genius to infer similarity between the highlighted names above. You can probably contribute a few names yourself to this case study. These examples span every theme the market has ever taken on and AI will fare much the same. *I highly doubt AI is the first theme to not be over-hyped and over-built.* You can feel good assuming such a posture. Knowing this, you've got to be aware of the names you are hitching your wagon to because although the first few miles might signal victory, it can very quickly turn into a loser's destination. Ask anyone investing in 2020 if they thought Zoom or Moderna were eventually going to shed over 95% of their market caps. Those who had cycle awareness were securing profits and selling to the unaware.

Old Friends

I've found great enjoyment in the current market and hopefully you have too. Although a few of my longer term darlings (***RBRK, RDDT***) have not fared well, there have been others (***VG, DELL, NFLX***) who have stepped up and provided us with notable returns year-to-date. I'll spend time discussing a few of these names below before transitioning into current market opportunities.

We first wrote about ***VG*** in our June 2025 [memo](#), I urge you to revisit those comments. My opinion from that time remains unchanged. I continue to hope the stock price stays under pressure so we can load more shares before this name truly exits the capex phase and begins its ascent. The setup in this name was presenting itself towards year end, but it has been catalyzed by escalations surrounding the Persian Gulf's status as a safe route of transportation. The escalation has effectively removed 20% of the world's liquefied natural gas (LNG) production and has put immense strains on shipping capacity as well. This has given leg room for VG to run well over 50% this year alone, peaking at over 80%. I view this move in price as event driven and there will be a time in the near future where ***VG*** bleeds just as quickly due to resolutions agreed upon in the Middle East. I maintain a cost basis of \$8.75/share and will be looking to add more should we see that range again.

As I type this, NFLX trades around ~25x forward earnings and has begun to garner my attention to some degree. Currently trading over 40% from its highs and in the depths of the Warner Bros-Discovery saga, I can begin to justify the price I'm getting. I'll grow more confident in that potential should we see the name begin to base in some fashion.

More recently, we highlighted Netflix (***NFLX***) in our February [memo](#) to make note of the opportunity presenting itself within a previous market leader. Since then, Netflix has opted to no longer pursue Warner Bros-Discovery and shareholders have tipped the cap. Take five minutes to review the M&A history surrounding Warner Bros and you will find a capital graveyard. This was not the sole reason Netflix was cut in half during the 2H of 2025, but it was certainly weighing on it. Price began to stabilize around February 12 and spent two weeks basing near \$75/share before going on a manic run. From the February commentary to March 6, Netflix shares have surged over 20%. While the trade has materialized perfectly, I do still spend time pondering this stock as a long-term hold. It's been a storybook compounder for many years and I tend to favor the future benefiting their positioning even more. As the market currently trades, it's no longer crediting 15-20% revenue growers the same elevated multiple as in previous years. There is a fork in the road and it's hesitant to credit these names with steep multiples as terminal profits are in question. My final note surrounding Netflix and why it caught my eye months ago is that when corrections are to be expected in the overall market, I tend to gravitate towards stocks that are in the throes of *their specific story and not so much the markets*. Having receded tremendously from all-time highs, Netflix is a stock that will continue to trade on its story alone. In any market "crash" there will be names performing to their own tune. To provide an ongoing lesson of this perspective, I'm viewing Nike (***NKE***) in much of the same vein. I believe one can trade successfully around this name with an entry close to \$50/share. I see this stock running to \$90/share ballpark in the future.

We've discussed a lot in this memo and I'd like to leave you with some clear investment ideas in the closing section to ponder until we speak again. In short, I haven't aggressively bought anything this year, it's still only early March. You can look around and convince yourself opportunities are growing and I surely won't disagree. Names like **RBRK** and **RDDT**, ones I've harped on for a long time, are still at the vertex of my consideration. I believe both have been incorrectly affected by the 2026 SaaS apocalypse.

I continue to buy **CRK** when presented with opportunities near \$18/share. I understand CRK as a volatile name with its fingers tied to multiple aspects of the AI trade and notably in a reduced regulation environment compared to others. It's my tool to trade around energy, data center, and AI momentum. One can even liken this name to BTC due to its volatility and to the fact that selling rips and buying dips have proved wise. I genuinely hope this stock sees a wild swing lower, to say the \$15/share range and we can trade it once again. I'll leave you with a fact; roughly 40% of grid supplied energy for data centers is coming from natural gas.

New Perspectives

To close this memo out, I'll dive into select names I'm paying the most attention to. As we alluded to above, today's market continues to shed light on future opportunities, and while they may not be ideal just yet, they are steadily ripening into actionable opportunities.

I've never written about MercadoLibre (**MELI**) but this is a quality company that I've been watching decline for almost eight months now and have gotten very close to starting a position in. Below \$1,800/share is where my attention is piqued and for a longer term hold, I believe that level will serve investors well.

We briefly touched on these names in the year-end [memo](#) but AI infrastructure names like **CRDO** and **ALAB** are still on the top of my mind. These are not cheap companies by any means even after receiving a ~50% haircut this year. I do not think the trade on AI infrastructure is dead yet and these volatile names warrant a consideration for trading. They are high-growth, high-beta stocks that swing violently week to week. With **CRDO** trading around \$114/share and **ALAB** around \$119/share, I'm fine with entering a position here.

I'm going to continue to stray away from a few cash intensive companies for the time being in hopes they reach a level I can't resist. The most notable here is **AMZN** and the fact they are spending \$500 million a day on AI capex. Another worth mentioning is **TSLA** who although they are clearly pivoting from a car company into much more, still have an absurd amount of cash burn. I believe both to be great long-term holds; I'm just sitting out in hopes of a better opportunity.

I still believe the market is more tied to **NVDA** than any other stock right now, and I haven't seen anything to convince me otherwise. So far this year, NVDA has returned -4.65%, slightly more than the S&P 500's -1.5% return. This is what can be expected of the overall market until institutions begin to bid this name back up aggressively. Fundamentally, NVDA continues to deliver unheard of earnings and

Jensen continues to be the leading voice in business. I'm aware of the law of large numbers here but it's not a stretch to consider NVDA's valuation as cheap. While CAPEX goliaths such as AMZN and MSFT can't go on doubling their AI spend every year, NVDA is positioned to print epic amounts of FCF for the foreseeable future. It bears repeating again, but you'll know when the market has its strength back by the price action of NVDA. When that period comes, it will be better to play NVDA rather than the broad market (SPY/VOO). NVDA remains a ~9% position for me and I'll look to add to this holding should we see below \$170/share.

Best regards,

A handwritten signature in black ink, appearing to read 'L. Cagle', with a stylized flourish at the end.

Luke Cagle
Cagle Family Interests, Ltd.